Econometrics I

Lecture 5b: Causal Diagrams (DAGs)

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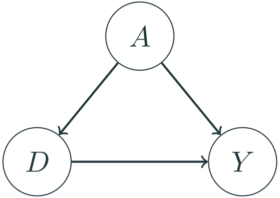
Fall 2026

Two languages for the same problem

- Potential outcomes (last hour) tell us *what we want*: $\mathbb{E}[Y_i(1) - Y_i(0)]$, and what randomization buys us.
- Causal diagrams (DAGs) encode *what we believe*: which variables cause which, drawn as arrows. The assumptions are the *missing* arrows.
- Why learn both?
  - DAGs make "what should I control for?" a mechanical question with a right answer — and expose when a control makes things worse.
  - Potential outcomes handle heterogeneity and identification-by-design more gracefully. Economists mostly publish in this language.
- Readings: Mixtape Ch. 3; Hünermund & Bareinboim (2021); Cinelli, Forney & Pearl (2022), "A Crash Course in Good and Bad Controls."

What is a DAG?



D = education, Y = wages, A = ability

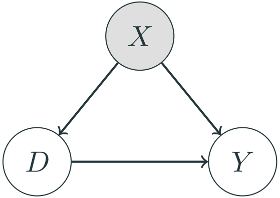
- Nodes are variables; arrows are direct causal effects; no cycles allowed (“acyclic”).
- Every missing arrow is an assumption: this graph asserts nothing else causes both D and Y.
- Unobserved variables (like ability) still belong in the graph — being unobservable doesn’t stop something from causing things.

In the graph on the last slide there are two paths from D to Y:

1. $D \to Y$: the causal path. This is the thing we want to measure.
2. $D \leftarrow A \to Y$: a backdoor path. Association flows along it even though D causes none of it.

- The regression of Y on D alone picks up *both* paths — this is exactly the omitted variables bias formula from Lecture 2, drawn as a picture.
- Identification strategy = a plan for shutting every backdoor path while leaving the causal path alone.

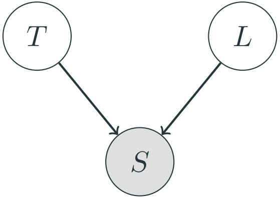
Good controls: closing a backdoor



Shading $=$ conditioned on.

- Conditioning on a confounder X (regression control, matching, stratification) blocks the backdoor path $D \leftarrow X \rightarrow Y$.
- This is the backdoor criterion (informally): find a set of observed variables that blocks every backdoor path, condition on them, and the remaining association is causal.
- "Selection on observables" (matching, next month) is exactly the claim that such a set exists *and you have it.*

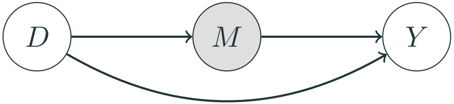
Colliders: conditioning can *open* a path



T = talent, L = luck, S = startup gets funded.

- S is a collider on the path $T \to S \leftarrow L$: two arrows collide into it. A collider blocks the path *by default*.
- But conditioning on a collider opens the path: among *funded* startups, talent and luck are negatively correlated — if a funded founder wasn't talented, they must have been lucky.
- Talent and luck are independent in the population. The correlation is manufactured by the conditioning. This is selection bias, drawn as a picture.

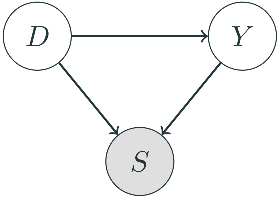
Bad control #1: the post-treatment variable



D = education, M = occupation, Y = wages

- M is a mediator: part of *how* education raises wages is by changing occupations.
- Controlling for occupation blocks part of the effect you are trying to measure. The coefficient on D is no longer the total effect.
- Rule of thumb with real teeth: do not control for variables that are themselves outcomes of the treatment. When in doubt, ask: was this variable determined before or after D?

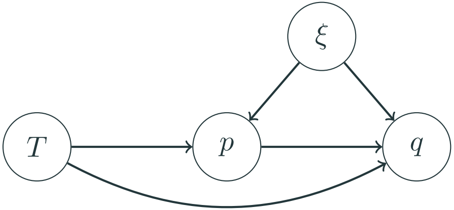
Bad control #2: the collider / sample-selection control



D = ad exposure, Y = purchase intent, S = visits the site

- Estimating the ad effect only among site visitors conditions on a collider: both seeing the ad and wanting the product cause visits.
- Within visitors, exposure and intent are spuriously related even if the ad does nothing.
- This is the same disease as Heckman's sample selection (Lecture 11) and the "conditioning on graduation" problem in education studies. Who is in your sample, and did the treatment help put them there?

Case study: when prices respond to your experiment



T = randomized ad/feature, p = price, q = quantity, ξ = demand shock (unobserved)

- A marketplace A/B test improves product pages. Demand rises — and treated sellers raise prices, offsetting part of the sales gain.
- Often the estimand is the direct effect: the demand-curve shift, *holding price constant*.
- So this time we *want* to hold the mediator fixed — but p is a doubly bad control: post-treatment ($T \to p$) *and* correlated with the demand shock ($\xi \to p$: sellers reprice when demand is hot).

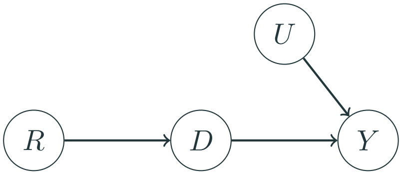
Three regressions, one instrument

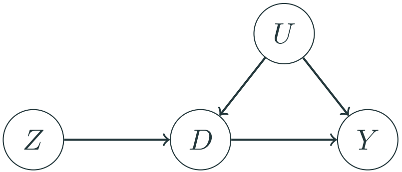
With randomized T, positive direct effect, and prices that respond (Jeziorski, Leng & Seiler 2025, working paper):

1. q on T: the total effect — demand shift *minus* the price offset. A fine estimand, but it is not the demand shift.
2. q on T and p: biased for the direct effect even though T is randomized — p drags ξ into the regression. Typically the bias shrinks but does not vanish, and it has the same sign as omitting p. The middle answer is still a wrong answer.
3. The fix: a price instrument (a cost shifter that moves p but not demand) recovers the direct effect. Instruments are next week's topic — note that here the instrument is for the control, not the treatment.

- Built-in diagnostic: regress p on T. If price responds to your randomized treatment, regressions (1) and (2) answer different questions than you think.
- Stakes: in supermarket scanner data, not instrumenting price overstates feature-advertising

The research designs of this course, as DAGs





Randomization: coin flip R causes D; no arrow into D from U.

Instrumental variables: the missing arrows $Z \to Y$ (exclusion) and $U \to Z$ (exogeneity) ARE the IV assumptions.

Every design we meet from here on is a claim about missing arrows. When you referee a paper, draw its DAG — the contestable assumption is usually an arrow the authors need to be absent.

Where DAGs strain (and economists push back)

- Simultaneity: supply and demand determine price and quantity *jointly* — a cycle, which a DAG cannot draw. Our oldest identification problem (Working 1927, Lecture 6) sits awkwardly in this language.
- Heterogeneous effects: LATE, compliers, and monotonicity (Lecture 7) are natural in potential outcomes and clumsy in DAGs.
- Where DAGs shine: bad controls, sample selection, and transparent communication of assumptions — especially in fields (marketing, IS) where "we controlled for everything" is still treated as a virtue.
- Verdict: use the DAG to decide *what to control for*; use potential outcomes to decide *what your estimate means*.

Coming attraction: when units interfere

- Everything today assumed my treatment doesn't affect *your* outcome (part of SUTVA). Drawn as a DAG: no arrows *between units*.
- In marketplaces and platforms this fails constantly:
  - Discounting rides for treated riders lengthens wait times for control riders.
  - Promoting treated sellers steals demand from control sellers $\Rightarrow$ the A/B test overstates the effect of the promotion.
- Fixes people use: cluster-randomize markets, switchback designs, exposure modeling. See Wager Chs. 11–12 — and Econometrics II if you want the full treatment.
- For now: when someone shows you an experiment on a connected system, ask what the control group's counterfactual really was.

- A DAG is a set of causal assumptions; the missing arrows do the work.
- Backdoor paths are confounding; blocking them is what “controlling for” means.
- Colliders reverse the logic: conditioning *creates* association. Selection into the sample is a collider.
- Bad controls: post-treatment variables and colliders. Ask *when* the variable was determined and *whether treatment helped put units in the sample*.
- Every design in this course is a claim about missing arrows — draw the picture before you believe the number.

Let’s look at the workbook now.

- Open `inclass_session5.Rmd` (in the `L7 - Program Evaluation and Selection` folder of the course repo).
- Reproduce the power calculations and the funded-startup collider.
- Then work the two problems with a neighbor:
  1. The bad control, live
  2. Design your own experiment

Thanks!